



Institutionalized Behavior Harming Status, Economy and Development in the City of Nazareth

Nazareth Municipality
Economic Report

www.nazareth.muni.il

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Nazareth is the largest Arab city in Israel and the largest city in the region. 70,000 residents on 3,500 Acres.

The City of Nazareth is the largest city in the region and the largest Arab city in Israel. The city's municipal boundaries encompass 70,000 residents on 3,500 Acres.

The City of Nazareth is one of the most important cities for the tourist industry. Its economy today is based mainly on two market segments, tourism, trade and industry and services to all regional residents. The tourism market is an unstable one, especially in our region, proof of which is felt today.

Findings indicate that the City of Nazareth has sustained the hardest blow in the tourism market with hotel occupancy down 94% compared to 2000.

This has immediate consequences on the socio-economic situation of the population and on city income – (since the three newest and largest hotels have closed and laid off most of their staff) – and directly affects the level of services.

The City of Nazareth has a very limited industrial zone of approximately 80 dunams. It does not meet the city's needs for the trade industry and does not allow for any future growth. The overwhelming majority of industry and workshops are spread out throughout the residential neighborhoods and the tourist center of town, causing both environmental damage as well

as damaging the quality of life of the residents.

Nazareth, as well as the rest of the Arab sector, is suffering today from a serious unemployment problem (16%). Government offices continue to harm Nazareth and its economic development as well as its status as a central city. This damage has been ongoing since the country's beginnings and more specifically since the founding of the city of "Nazareth Elit" as a Jewish city whose role it was to take the place of Nazareth as a regional city. One means, among others, was the relocation of government services and functions to Nazareth Elit, as was done in the past and is continuing today.

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The City of Nazareth is home to approximately 70,000 residents.

The City of "Nazareth Elit" is home to approximately 45,000 residents.

The Nazareth municipality encompasses 3,500 acres.

The "Nazareth Elit" municipality encompasses 10,500 acres.

In Nazareth, there are approximately 21 acres of light industry.

In "Nazareth Elit", there are approximately 2,000 acres of industry.

Relocation of Government Offices from Nazareth to Nazareth Elit (Upper Nazareth)

All of the government offices were located in the City of Nazareth, providing services to the regional population, who had been availing themselves of these services since the times of the British Mandate, due to Nazareth having always been a regional center. Since the establishment of "Nazareth Elit" in the late 1950's, the Israeli government began a systematic policy to remove all government offices from the City of Nazareth and relocate them in "Nazareth Elit". It began with the Ministry of the Interior (Population Registry Office), the Ministry of Agriculture (closed), the Courts (despite the fact that the official, and current, title is Nazareth District Court), Ministry of Education, Bureau of Customs and V.A.T., the Regional Labor Court, and recently the Office of the Prime Minister and the Ministry of Health.

The last office to be relocated

was the District Health Office, which was moved surreptitiously, without notifying the Nazareth municipality. When, by chance, this fact became known to the municipality, it did everything in its power to prevent the move, but to no avail.

This process has caused great damage to the city's status, its economy and its municipality, and increases tension in the region.

The government offices that

have been relocated to "Nazareth Elit" are located on lands that were appropriated from Nazareth and annexed to "Nazareth Elit" at the time of its establishment. They are located on the boundary between the two cities.

Justice, even partial, demands that this area be jointly managed by both cities, or alternately, to build government offices in Nazareth, for which the city is prepared to allocate land.

(X 1000 NIS)	Nazareth	Nazareth Elit
Population	70,000	45,000
Socio-Economic Ranking	3	5
Total Expenses	169,982,000	203,000,000
Total Independent Income	72,118,000	111,295,000
Calculated Balance Grant	23,000,000	27,041,000
Independent Income per capita	1,030	2,473
Expense per capita	2,428	4,511
Grant per capita	329	601



City of Nazareth Municipal Boundaries and the Sprinzak Enclave



Map of the City of Nazareth municipal boundaries. The blue area shows the "Sprinzak" enclave, which belongs to the "Nazareth Elit" municipality.

1. There is an immediate need for the expansion of the Nazareth municipal boundaries, by approximately 1,200 acres in order to meet the city's needs and its natural growth through 2020. This is according to the Descriptive Plan Nazareth 2020, however Nazareth is blocked in all directions by areas belonging to other settlements and municipalities. Concurrently, in the last few years "Nazareth Elit" was allocated more than 2,500 acres to expand its municipal boundaries, which is three times larger than that of Nazareth.

2. In the heart of the City of Nazareth is an enclave of about 40 acres, encompassing the Nazareth Gardens Hotel (formerly the Sprinzak Rest and Recreation Center) and the Northern Home Command

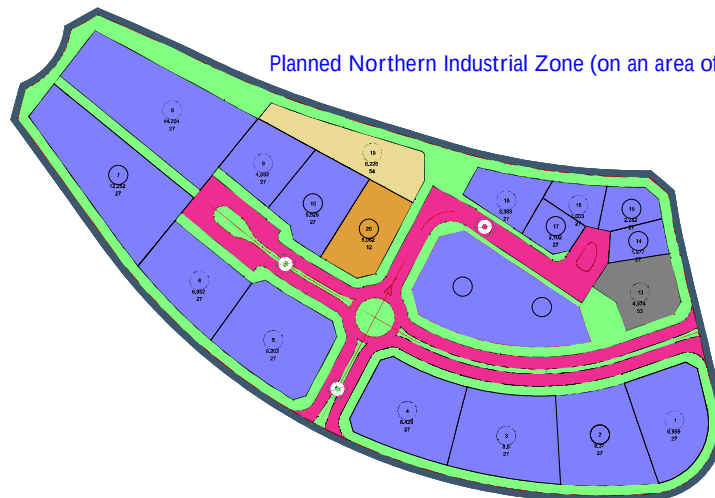
(formerly the Northern Command). This enclave was appropriated from the City of Nazareth in the early 60's, was partly under private ownership, and was annexed to "Nazareth Elit".

The City of Nazareth did not take this lightly and endeavored to have these lands returned to its municipal boundaries. They encountered the refusal of the Ministry of Interior, which was being pressured by "Nazareth Elit" municipality, and the national discriminatory policy of the government.

The City of Nazareth appealed to the High Court of Justice half a year ago, in order to require the Ministry of Interior to appoint a Boundaries Committee as legally mandated, to evaluate the City of Nazareth's request.

The current situation is harmful to the City of Nazareth, its standing, economy, and denies the possibility of utilizing its land reserves for the development of services to the residents of the adjacent neighborhoods. These are crowded neighborhoods with no available public land whatsoever.

In the past, there was an attempt to transform the Northern Command's facilities into a prison (during the tenure of Minister Moshe Shachal), at the initiative of, and with the support of, the mayor of "Nazareth Elit". This move was thwarted as a result of major public protest, led by the Nazareth municipality, with the assistance of groups both in Israel and overseas.



Planned Northern Industrial Zone (on an area of approx. 62 Acres)

(lower left caption)

Southern Industrial Zone in Nazareth, 21 Acres. The only industrial zone in Nazareth, fully occupied.



Labor and Industry in the City of Nazareth (Northern and Tzipporit Industrial Zones)

An analysis of the current situation of labor and industry in Nazareth indicates a lack of space for industry and light industry in the city. The same can be seen in the City Master Plan. The existing industrial zone is in the southern part of the city and encompasses 20 Acres. It is zoned for light industry and trade. It is fully occupied and has no further reserves of land, a severe lack of land for public use and

deficient infrastructure.

The employment picture in Nazareth is in great hardship. Approximately 77% of the women are unemployed. The unemployment rate in Nazareth (16%) is one of the highest in Israel, the employment mix is very poor and over 60% are day laborers.

This situation is intolerable and unfair. Lack of attention to the issue of industry as a basic

economic component for the City of Nazareth (in spite of its being a cultural and tourism city) has numerous negative socio-economic ramifications for the city and its population; the standard of living will remain low and drop even lower; the city will have limited economic maneuverability; the trend of unemployment will continue along with the large number of unemployed women and the especially low mix



Continued... Lack of Industrial Space

of employment.

The municipal boundaries of Nazareth and the available land are insufficient in comparison to the various needs of the city. They are not sufficient for the establishment of an industrial zone that would enable appropriate economic development and are not even sufficient for the natural growth of Nazareth's population, which is estimated to reach 120,000 by the year 2020. It is barely sufficient for a population of 96,000. The solution which will be provided by the establishment of an industrial

zone worthy of the City of Nazareth will be possible only by the expansion of the existing city limits.

Planned Industrial Zone in the North of the City of Nazareth

In 1994 approximately 172 Acres, in the North of the city, were annexed to the City of Nazareth, for the establishment of an industrial zone. This zone was to encompass the entire plot in order to provide solutions to a number of problems. 1. Dispersion of workshops in residential neighborhoods and the center

of the city (in the tourism area). 2. Opportunity to introduce new businesses and industry to Nazareth. 3. Increase of the rate of municipal services by increasing city income, minimize outgoing commutism and prevent businesses from abandoning the city.

In 1994, the City of Nazareth began the immediate preparation of detailed plans for this land with the support of Ministry of Trade and Industry. Of these 173 Acres, approximately 74 were designated for forestation and were recently planted with

saplings. Following that, the Department of Public Works planned a highway interchange for the area that took over 50 additional Acres.

Ultimately, in order to avoid any further delay, it was decided to continue and prepare a plan for the remaining area of 62 Acres gross (30 acres net).

Since the conclusion of the plan there have been numerous artificial obstacles thrown in its path barring the plan's filing and approval.

Academic College in Nazareth

Despite the understanding with the Ministry of Education, the agreement, in principle, of the Planning and Finance Committee – Commission for Higher Education, the support of all the Arab Members of the Knesset in the document presented to the previous Minister of Education, the support of the Upper Tracking Committee, discussions and agreements in this matter, official approval from the Commission for Higher

Education to establish an academic college in Nazareth is being held up. The municipality has already allocated appropriate land for this purpose, in conjunction with the Commission for Higher Education.

The municipality is concerned about the delay in receiving official approval from the Commission for Higher Education and is concerned that there will be a political halt to the process.

Annual Per Capita Expenditure in Cities with a Similar Population to Nazareth

Town	Per Capita Expenditure	National Ranking
Hadera	4,524 NIS	46
Lod	4,136 NIS	70
Nazareth Elit	4,045 NIS	77
Herzliya	3,931 NIS	82
Ra'anana	3,929 NIS	83
Kfar Saba	3,653 NIS	99
Ramle	3,628 NIS	101
Rehovot	3,051 NIS	141
Nazareth	2,386 NIS	174

National Preference Regions and their Ramifications for the City

One of the tools developed by the government for the transfer of special funds and to encourage development and investments is the definition of regions of national preference. Other than during the Rabin government, Arab settlements were always left out of these areas.

This tool provides settlements in the national preference regions with benefits from various government offices, both directly to the municipalities and indirectly to the residents and investors. Some of these benefits are higher mortgages and grants to buyers, investment grants to new businesses by certifying them as approved enterprises if they are in a class A region. These benefits are not available

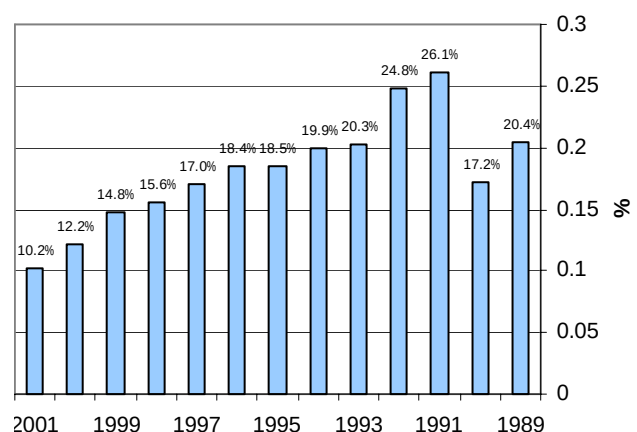
to the Arab settlements, therefore denying them the opportunity to compete in the economic development of their towns.

This system must be changed, the political and the party elements must be neutralized, uniform and objective criteria must be established, criteria which consider the existing socio-economic condition and the current development in order to determine regions of national preference.

If this is done, there is no doubt that Nazareth will be a national preference region in all spheres.

For many years, "Nazareth Elit" has been granted a ranking of national preference, region A for almost all categories, while

Balance Grant Percentage



this was denied to the City of Nazareth! This led to unfair competition and development opportunities for "Nazareth Elit" at the expense of the City of Nazareth.

Nazareth Municipality Economic Report

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Balance Grants and the Regular Budget

The balance grant in Nazareth's regular budget has diminished drastically, absolutely and comparatively over the past years. This is part of a policy to harm the City of Nazareth, its status, its economy, its potential development, and its day-to-day operations.

This is in addition to the discrimination that exists towards all Arab settlements.

The tables and data presented here cry out louder than any words.

The municipality, together with the "Adala" organization has appealed to the High Court of Justice regarding the distribution of balance grants and the existing discrimination. The formulas used by the Ministry of Interior are flexible and vary with Ministry policy (the Minister), and to serve its goals.

For the year 2000, based upon city data and the

Town	Socio-Economic Ranking	Population	Regular Budget X 1000	Grant X 1000	Grant Percentage of Budget	Grant Per Capita
Gush Halav	6	2,765	13,249	7,773	58.67%	2811.21
Mizra'a	3	3,206	10,037	5,609	55.88%	1749.53
Mas'ada	2	2,895	11,097	5,889	53.07%	2034.20
Bak'ata	Ann. 1999	4,751	14,629	7,607	52.00%	1601.14
Zemer	4	4,800	14,078	6,622	47.04%	1379.58
Dir Al-Asad		8,700	30,724	14,364	46.75%	1651.03
Arabeh		16,233	48,262	21,837	45.25%	1345.22
Ba'ina Nagidat	2	6,584	23,711	10,643	44.89%	1616.49
Peki'in	4	4,618	25,020	10,536	42.11%	2281.51
Abu Snan	3	10,112	41,567	17,313	41.65%	1712.12
Aksal	3	9,721	28,036	11,454	40.85%	1178.27
Yarka	3	11,745	40,267	15,977	39.68%	1360.32
Yafi'a	3	13,432	35,761	13,776	38.52%	1025.61
Kalanswa	3	14,719	39,926	15,236	38.16%	1035.12
Kfar Yasif	4	8,077	37,765	14,390	38.10%	1781.60
Nahaf	2	6,763	33,249	11,707	35.21%	1731.04
Majar	2	17,600	69,136	22,232	32.16%	1263.18
Ajlin	3	9,532	32,921	11,374	28.95%	1193.24
Sakhnin	3	21,653	78,653	19,670	25.01%	908.42
Shfar'am	3	29,220	81,193	19,960	24.58%	683.09
Um El-Fahm	3	37,060	113,545	21,821	19.22%	588.80
Nazareth	3	70,000	165,000	23,000	13.94%	328.57

Regular budget versus grants for the year 2000 for regional authorities – partial list (data from the authorities' official publications) (all Budgets in 1000 NIS)

formula by which the grant for "Nazareth Elit" was calculated, the City of Nazareth was eligible for an additional grant of 11 million NIS.

Tzipporit Industrial Zone as a Joint Zone – Justifications and Benefits

The Tzipporit Industrial Zone encompasses some 1360 Acres (495 Acres were recently annexed). It is located between Rina, Mashhad and Kfar Kana, but is part of the plan and municipality of "Nazareth Elit", despite the fact that there is no geographic connection to "Nazareth Elit". In opposition to the stated policy of the Ministries of the Interior and Trade and Industry for the establishment of regional industrial zones, all of the requests by the City of Nazareth to participate in this zone along with the neighboring Arab villages were denied.

It is interesting to note that the City of Nazareth received, in principle, positive consideration to its requests from the Minister of Trade and Industry and the Prime Minister's Office, but in reality, the official requests were denied.

The area had land that was not officially part of any municipality. The City of Nazareth requested this land to develop an industrial zone but this request was blocked when the land was annexed to "Nazareth Elit".

This is proof of the national

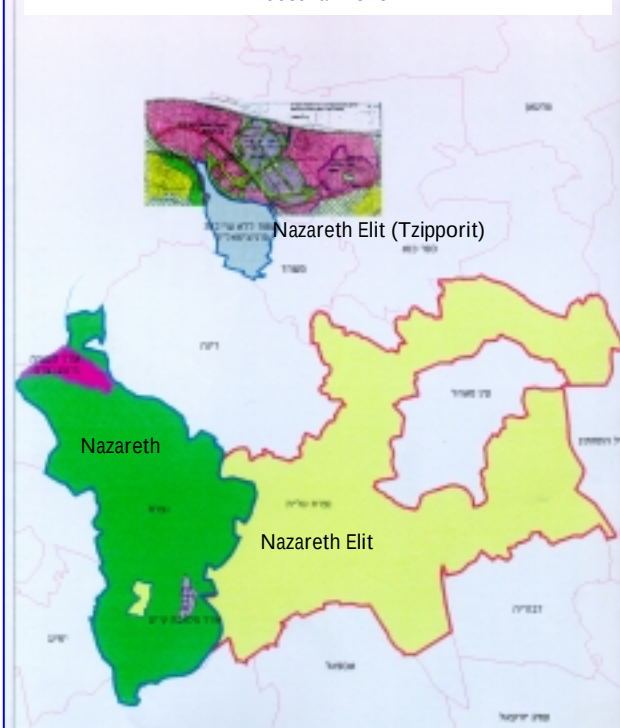
discrimination. A wide-ranging campaign for change is needed.

It must be noted that:

1. Currently, there is not enough land to provide solutions to the city's industrial needs. The northern area can provide a partial, short-range solution for small businesses only.
2. Participation in the Tzipporit industrial zone provides an immediate and long-range solution for Nazareth. Participation would enable varied employment mobility for the citizens of Nazareth, mobility which today is not available.
3. The Tzipporit industrial zone can contribute to the advancement and establishment of new industry for local residents and investors.
4. Participation will enable a partial easing of the transportation difficulties in the city.
5. Participation will strengthen the cooperation and lessen the friction between the two cities of Nazareth and "Nazareth Elit".
6. Participation will provide increased tax revenue to the City of Nazareth, which will have an

immediate and positive effect on the level of services provided to the population of Nazareth.

Industrial Zones in Nazareth in comparison to Tzipporit Industrial Zone



Regional map, municipal boundaries of Nazareth and "Nazareth Elit", showing the Tzipporit Industrial Zone at the North of the map.